

EXXONMOBIL UPSTREAM

Upstream Best Practices

Leadership for Operations – Framework for Training (LOFT)

Revision 4.1

1. SUMMARY

The Upstream Leadership for Operations – Framework for Training (LOFT) Standard and Best Practice describes a structured process to support the training and development of individuals occupying Upstream Operations, Maintenance, Logistics, or New Operations leadership positions. In particular it is focused on Second- and Third-Line supervisory positions.

LOFT outlines training and experiences in core areas, determined to be important for effective development of upstream leaders. LOFT is applicable to all Second- and Third-Line Supervisors in Producing Operations, including prospective candidates. It focuses on the Fundamentals of Operating Performance: Safety, Integrity, Reliability, and Profitability. LOFT also plays a key role in verifying competency of selected personnel in leadership positions in Process Safety.

The central tool used to execute the LOFT framework is the LOFT “Task Book” which is to be used as a guide to directly support the training and development of Second- and Third-Line Supervisors.

A Third Line Supervisor in Upstream Business Units is typically someone who manages Operating Group Supervisors, potentially including Maintenance and Logistics, to deliver safe, reliable and profitable operation of assigned assets / areas. People in these positions demonstrate broad, generalist skills within Operations and Maintenance; complemented by knowledge of technologies and engineering appropriate to job position. Typical Job Positions may include: Operations Supt, Asset Mgr., Area Operations Manager, Maintenance Mgr., and Logistics Mgr.

A Second Line Supervisor in Upstream Business Unit is typically someone who manages First Line Supervisors, potentially including Maintenance and Logistics, to deliver safe, reliable, and profitable operation of assigned assets / areas. Personnel in these positions demonstrate broad skills within Operations and Maintenance as applicable to the role. Typical Job Positions may include: Field / Plant / Mine Supt, Offshore Installation Mgr., Person-In-Charge, Maintenance Supt, Logistics Supt.

CONTENT DESCRIPTION

The content of UBPs is categorized into the following three components:

- **Critical Expectations, denoted as [CriticalE] throughout**, describe actions that must/shall be met by all BUs. These are complete, single thoughts or actions, worded concisely to communicate something that is necessary, specific, verifiable / actionable and attainable. Generally, Critical Expectations are tied to differentiating capabilities, economies of scale, or needs to close gaps in defensive positions, where deviation results in:
 - Significant personnel safety risk equivalent to multiple fatalities
 - Significant process safety risk equivalent to an HC1 or HC2
 - Significant Controls risks
 - Potential loss of significant value or Corporate Scale advantage
- **Expectations, denoted as [E] throughout**, describe actions that must/shall be met by all BUs. These are complete, single thoughts or actions, worded concisely to communicate something that is necessary, specific, verifiable / actionable and attainable. Generally, Expectations are tied to industry standards, differentiating capabilities or areas where deviation could result in increased personnel, process safety, or controls risk or loss of financial value
- **All else** in this document is generally globally supportive institutional knowledge, tools, and 'how to' guidance. Business Units have flexibility to adopt this content based on business value.

Content within this Best Practice aligns to common criteria as defined in the UBP Principles document, Section 1.0. These criteria apply to all Upstream Best Practices.

LOFT STANDARDS

The following element is a Critical Expectations [CriticalE] within LOFT, and support delivering OIMS Expectation 1.7 System and Process Competency – senior managers and business unit managers ensure managers and supervisors have the knowledge and skills needed to effectively apply OIMS systems and processes.

- **[CriticalE]** Third- and Second Line Supervisors in LOFT Process Safety Positions, and respective relief personnel shall demonstrate competency in LOFT Process Safety Modules. Delegation of Risk Approval Authority must be in place until competency is demonstrated.

The following elements are *Expectations [E]* within LOFT UBP

- **[E]** Personnel assigned to a LOFT Process Safety position should complete the LOFT Process Safety assessment within 90 days of assuming the position.

[E] LOFT Process Safety assessment completion must be verified by an assessment team approved by the Production Manager.
- **[E]** The completion of OIMS Core and Discipline Specific Task Book Modules is recommended for an individual's competency and development. Supervisors may consider an individual's past experiences (e.g., previous leadership roles in Operations) or BU specific focus areas to determine what systems /

task need additional development by the individuals, with completion not exceeding 12 months from assignment start date.

- **[E]** To ensure a sustainable application of competency demonstration, meaningful Performance Indicators should be utilized to effectively confirm that the different LOFT modules are working as intended. KPI are provided in section below.

KEY PERFORMANCE INDICATORS

The stewardship of all LOFT modules is being tracked in CareerConnect.

- OIMS Critical KPI: Percentage of TLS/SLS personnel in LOFT Process Safety positions who have completed the LOFT Process Safety Modules and F2F Assessment Process
- Supporting KPI: Percentage of newly nominated Second- and Third-Line Supervisors achieving verification in first 90 days
- Supporting KPI: Percentage/Number of completed assessments for candidates standing in for Second- and Third-Line Supervisor LOFT Process Safety positions

TOOLS

The following tools should be used for further information and competency demonstration and are available on the intranet: goto/LOFT

- Global process safety module assessor's guide
- LOFT Task Book

TRAINING

- Refer Tools above

WORKFLOWS

N/A

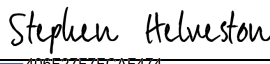
SUPPORT

- Contact Upstream Operations – Operations / LOFT Advisor
- **REVISION RECORD** the latest changes to this document are summarized in the table below.

Version	Date	Description of Key Changes
2.0	August 2013	Updated LOFT to reflect PBP Revitalization; Consolidation of Superintendent Task Books into LOFT UBP as appendices.
3.0	January 2019	Updated and revised LOFT: Demonstration of Leadership Competency in Process Safety
4.0	July 2022	Updated per UBP template including identification of [CriticalE] and [Expectations] Requirement for 60-day completion of Process Safety Modules/Assessment changed to 90 days. Requirements for Class/Flag.
4.1	Aug 2022	Updated Tailored Requirements to address Third Party Operated asset requirements.

APPROVALS AND ENDORSEMENTS

Refer to the UBP Principles document, Section 2.0, for responsibilities associated with the roles listed below.

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Endorsed:	DocuSigned by:  9989CEEA227645D... Huzefa Ali Operations & Reliability Manager, UO	September 2, 2022 Date

Accountable VP approval required for any [CriticalE] in line with Section 2.0 of UBP Principles. If no [CriticalE]'s identified, Accountable VP approval is not required.

Approval:	No Change to [CriticalE][E] in this Rev; refer approval for Rev 4.0 Carman Mullins Upstream Operations - Vice President	Date
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2. LOFT TASK BOOK

- The LOFT Task Book is the primary tool used to meet the recommended training and experiences described in LOFT. “Tasks” involve gaining familiarity – not expertise – with practices carried out in the field. Some tasks involve gaining knowledge, while other tasks involve witnessing or conducting a work experience. The Task Book contains three modules: Process Safety Modules (Global/Asset Specific), OIMS Core Module, and Discipline Specific Modules (Operations, Maintenance, Logistics, and New Operations). An “On-Boarding Roadmap” is also available in the Task Book. The roadmap is a supportive practice / tool for adoption at the discretion of the Business Unit.
- Process Safety Modules
 - Represent knowledge that all Second- and Third-Line Supervisors in LOFT Process Safety positions require in order to manage Process Safety at their facility.
- OIMS Core Modules
 - The Modules are set out by OIMS element and represent knowledge and experience that is expected to be gained during assignment.
- Discipline Specific Modules
 - Discipline specific activities and knowledge that help build operational experience in the respective discipline. These activities and knowledge is expected to be gained during assignment.
- Identified Gaps
 - Gaps Identified during the Process Safety Modules assessment must be flagged, and a gap closure plan must be developed before Full Risk Approval Authority can be granted.
 - Where evaluation of the Task Book reveals gaps in knowledge in the OIMS Core Module or Discipline Specific Module a Gap Closure plan may be developed, including training or specific experiences, to ensure closure of that gap.

2.1 MODIFYING TASK BOOK

- Changes to content in the LOFT Global Process Safety Modules requires formal approval from the LOFT UBP owner.
- Changes to content in the LOFT Asset Specific Process Safety Module do not require LOFT UBP owner approval. However, where changes involve High Consequence Scenarios, the Scenario Owner should be consulted prior to content changes.
- Individual tasks within the OIMS Core and Discipline Specific sections of the Task Book may be modified by the Business Unit as necessary to best suit the development of the individual, considering the unique features of the person and the asset. Changes to these modules do not require formal approval from the LOFT UBP owner.

2.2 Completing Task Book Activities

- Each individual assigned a Task Book is responsible for the completion and documentation of tasks. Completion of individual tasks are to be documented in the Task Book and be endorsed by the candidate's supervisor. Completion of modules are to be documented in CareerConnect. Typically, the BU's training group will support the documentation completion.
- For Process Safety Modules the candidate's supervisor is responsible for endorsing completion of a Task Book and competency is to be verified in a formal F2F assessment. Further details on this assessment process are contained in Section 3.5 of this document.
- For OIMS Core and Discipline Specific Modules the candidate's supervisor is responsible for endorsing completion of a Task Book and has flexibility to determine what constitutes acceptable completion of

tasks. Supervisor may consider past experiences or assignments (e.g., a Second- or Third-Line Supervisor role in another asset for example) and require only selective tasks or modifications of suggested tasks to be completed prior to endorsement.

3. PROCESS SAFETY MODULES

The Process Safety Modules are designed to assess competency in areas that are considered vital in managing Process Safety risks at the asset or facilities for which the selected person has responsibility. Completion of these modules in the Task Book and a face-to-face knowledge assessment is required prior to receiving Risk Approval Authority for the position. [See \[CriticalE\] \[E\]](#).

These modules are broken into two categories: Global and Asset-Specific.

Global Modules contain questions in the categories below that are applicable to all Business Units across the Upstream. The Global Modules can be completed and assessed prior to assuming the position.

Asset-Specific Modules are specific to the asset the candidate is working in. The questions contained in the Asset Specific Module cover the same categories as the Global Module but focuses the candidate on Process Safety Risk in the Business Unit. Additional emphasis is also placed on the Higher Consequence (HC1/2) Scenarios as well as the Critical Safeguards associated with these scenarios. The Asset Specific Module must be assessed by the Assessment Team at the Business Unit where the candidate is assigned.

The categories on which the Process Safety Modules focus are:

- Risk Management
- Training
- Operating Procedures
- Critical Equipment
- Alarm Management
- Work Management
- Management of Change
- Incident Investigation and Analysis
- Environmental
- Emergency Response

Candidates that have completed and demonstrated competency in the Global Process Safety Module in a previous position will not require reassessment when changing roles/assets. Reassessment of competency will be required for the Asset Specific Process Safety Module (where applicable) when candidates move to a new asset.

3.1 RISK APPROVAL AUTHORITY

Risk Approval Authority is the set of authorities associated with a specific position to make risk-based decisions. Examples of these types of decisions include but are not limited to:

- Risk Assessment or Risk Screening approvals
- Scenario Management related endorsements / approvals
- Work Management System related approvals (e.g., Temporary defeats or SIMOPS deviations)
- Procedural Deviations / Interim Directives
- Approval/endorsement of FIMS exception reports
- Critical PM Exception approvals
- Management of Change approvals

- Competency exception approvals
 - Emergency response decisions
 - Deviations to standard incident investigation/response procedure
- It specifically does not include CIMS/Security/Project/IT/Budget /Contract /Expenses /Staffing approvals

3.2 EXAMPLE OF RISK APPROVAL AUTHORITY DELEGATION MATRIX

Delegation of Risk Approval Authority

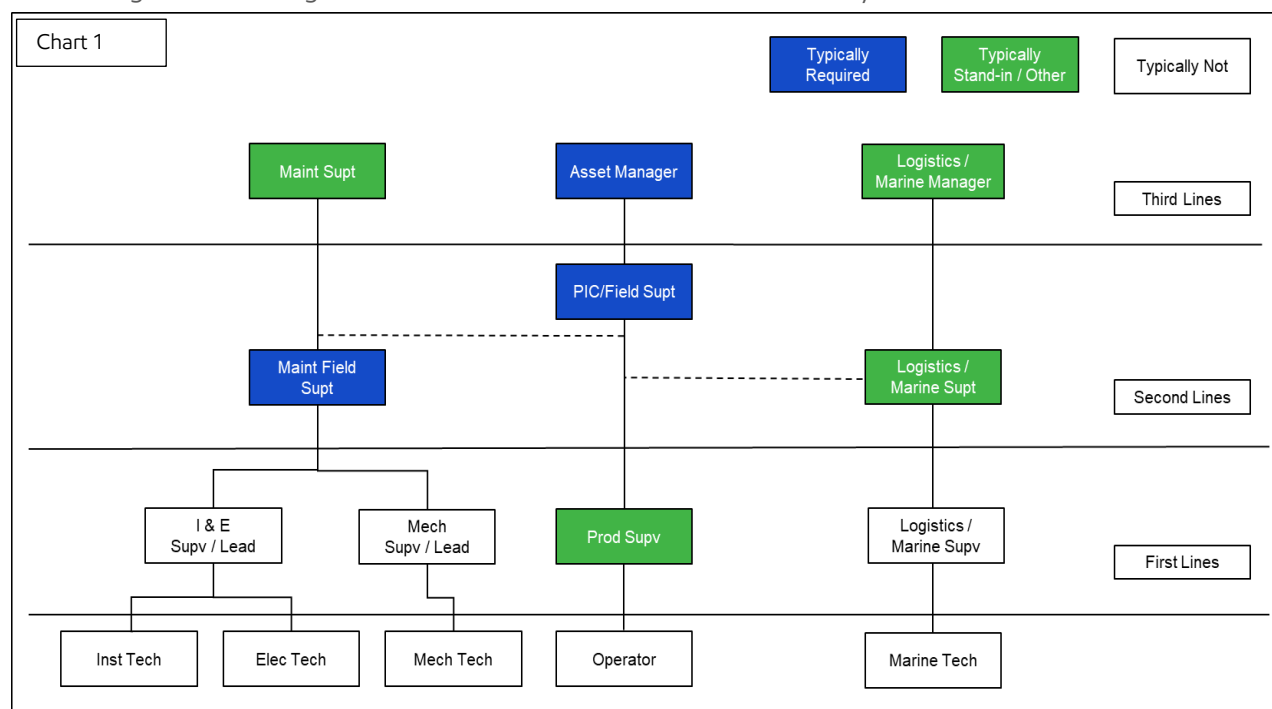
Within the Process Safety module areas, the following Risk Approval Authority delegation will be applied before your completion of the competency demonstration. While Approval Authority is delegated, you should ensure you play a role in endorsing risk decision in these areas as a way to improve your learning towards competency demonstration.

RISK APPROVAL ACTIVITY		DELEGATED TO
Module: Process Safety: Risk Management (OIMS 2-1)		
1.	All Risk Screening approvals	PIC
2.	All structured risk assessment approvals	Operations Manager
Module: Process Safety: Training (OIMS 5-1)		
3.	All cases of deviation to minimum required competency coverage	Operations Manager
Module: Process Safety: Procedures (OIMS 6-1)		
4.	All cases of deviation from normal procedures	PIC
Module: Process Safety: Critical Equipment (OIMS 6-2)		
5.	All cases of approval of critical PMs in exception between 30 to 90 days	PIC
Module: Process Safety: Well Integrity Management(OIMS 6-3)		
6.	Not applicable to assigned position	n/a
Module: Process Safety: Work Management (OIMS 6-4)		
7.	All cases of approval of Temporary Defeats between 7 to 30 days	PIC
8.	All cases of approval of a SIMOPS Matrix deviation at Level 2	Operations Manager
Module: Process Safety: Management of Change (OIMS 7-1)		
9.	All cases of approval of Temporary MoCs	PIC
10.	All cases of extensions to Temporary MoCs	Operations Manager (or higher)
Module: Process Safety: Incident Investigation and Analysis (OIMS 9-1)		
11.	All cases of assigning an Incident Investigation Lead for AHL1+ and PHL2+ incidents or near misses	Operations Manager
Module: Process Safety: Emergency Response (OIMS 10-2)		
12.	All cases where role is typically the ESG Impacted Business Unit representative	Impacted Business Unit role may be assumed upon consultation with Operations Manager based on the incident/event at hand.
13.	All cases where role is typically leading an IMT for site emergency responses	PIC, or assumed upon consultation with Operations Manager based on the incident/event at hand.

3.3 LOFT PROCESS SAFETY POSITIONS

Process Safety responsibilities are not applicable for all Second- and Third-Line Supervisors in the Upstream Business Units. Each Business Unit, with the support of Upstream Operations, must identify the Second- and Third-Line Supervisor positions that exist within their organization that are to be LOFT Process Safety positions. The minimum expectation is that all Second- and Third-Line Supervisors with Risk Approval Authority will be LOFT Process Safety positions. Consideration should be given to other positions within the organization such as Maintenance, Logistics or Marine. Positions that have the ability to impact Process Safety performance are recommended for inclusion.

See Figure below for guidance on identification of LOFT Process Safety Positions



3.4 PROCESS SAFETY MODULES ASSESSORS GUIDE

Assessor Guides (goto/LOFT) are tools for ensuring a consistent approach of assessments across all Business Units. Two guides are provided:

- Guide 1 is for the Global Process Safety Modules. It provides the questions and model answers across ten Process Safety categories. The answers to these questions should be the same for all Business Units globally.
- Guide 2 is for the Asset Specific Modules. It provides questions across the same Process Safety categories, but with an expectation that each Business Unit develop their own Asset Specific Assessors Guide from this template with the asset/facility specific answers to each of these questions. These Assessors Guides should be utilized by both the candidate, in preparing for their face-to-face assessment, and by the assessment teams, to maintain consistency in assessment across all Business Units

Tailored Requirements:

- Unconventional Business Units will adhere to the requirements as defined by Uncon. Implementation Charter @ goto/unconloft

- Questions in Global Process Safety Module/Task Book pertaining to Roles of Flag States and Classification Societies- Flag/Class – in Offshore Operations are only applicable to BUs with floating vessels e.g., FPSO, FSO, etc. Second Line and Third Line Supervisors will utilize materials linked in the Task Book to gain understanding of how Flag/Class apply to their respective vessels. LOFT Candidates should be prepared to speak to their understanding of Flag/Class during the Global Module Process Safety assessment.
- Third party operated Assets
 - Asset Manager/On-Board Representatives (OBR) – complete LOFT Global Process Safety Module assessment. Development and assessment of Asset-Specific Process Safety Module is optional but recommended.
 - Where the On-Board Advisors (OBA) is serving as a respective relief in the absence of the OBR, BU must adhere to defined [CriticalE]

3.5 ASSESSMENT TEAM

To maintain to ensure consistency the Business Unit should have a nominated LOFT Assessment team. It is recommended that the LOFT Assessment team should consist of at least three but no more than five people. Personnel involved in the assessment process will vary by site and the position of the candidate being assessed, but team composition should include the following roles:

- Assessment Lead – A BU experienced Fourth line Supervisor with Operations experience (Ops Mgr., Ops Tech Mgr. or equivalent) should be the Assessment Lead to assess a Third Line Supervisor. A BU experienced Third Line Supervisor (Ops Supt or equivalent) should be the Assessment Lead for a Second line Supervisor. The role of this person is to lead the assessment and make the final decision as to whether the candidate has demonstrated the competency required.
- Assessment Facilitator –The role of this person is to coordinate and participate in the assessment, ensure the process is conducted consistently with UBP expectations, and coordinate timing and logistics. Examples of an Assessment Facilitator could be Training and CAS Supervisors, SHE or OIMS Supervisors or other personnel experienced in conducting assessments.
- Technical Assessors – For each module it is important at least one person has the required technical competency and knowledge in the respective area to effectively assess the candidate's competency. A Technical Assessor is someone with particular knowledge or experience in the asset or facility and who has specific technical knowledge of the processes being assessed. Consideration should be given to the knowledge and experience of the Assessment Lead and the Assessment Facilitator when selecting the Technical Assessor(s).

Examples of these Technical Assessors could include but are not limited to:

- Technical Leads/Advisors for Asset/Site Process Safety Hazards/safeguards
 - Asset/Site Process Safety Technical Lead
 - Experienced Second and Third Line Supervisors
 - Operations FLS
 - Operations Advisors
 - Engineering Advisors
 - OIMS Element SME's (administrator/owners)
- Supervisor/Manager –It is permissible for the Supervisor or Manager of the candidate to be part of the Assessment process or act as a Technical Assessor with the approval of the Assessment Lead. There may

be situations where the appropriate Technical Assessor is someone who reports directly to the LOFT candidate. This is also permissible with the approval of the Assessment Lead.

Additional Roles and Responsibilities for select individuals that support LOFT implementation, sustainment, and effectiveness are referenced below.

Business Unit Operations/Production Managers (GM where PM not in place):

- Oversee on-boarding of newly appointed Third Line Supervisors.
- Ensure timely closure of training and experience gaps.
- Review and endorse placement of temporary stand-in Third Line Supervisors into LOFT Process Safety positions where applicable.
- Confirm consistency and effectiveness of LOFT Process Safety F2F assessments.
- Serve as the Process Safety LOFT Assessment lead for Third Line supervisors.
- Ensure full Risk Approval Authority is delegated and managed appropriately while newly appointed Third Line Supervisors in LOFT Process Safety positions have been deemed competent. **See [CriticalE]**
- Determine completion requirements for Third Line Supervisor in the OIMS Core and Discipline Specific Modules.

Business Unit Third Line Supervisor (Asset/Operations Manager)

- Meet all the same requirements as the Production Manager for his/her Second Line Supervisors.

Business Unit Technical Managers:

- Act as the LOFT Assessment lead for Process Safety Modules when requested by Production Manager.

Upstream Operations:

- Support Business Units on effective implementation and sustainment of LOFT.

3.6 CONDUCTING THE ASSESSMENT AND DEMONSTRATION OF COMPETENCY

Assessors will ask open-ended questions to verify competency for each of the modules. Candidates should be prepared to elaborate and provide details and examples to demonstrate understanding. Assessments should not be simply question and answer rather should consider the candidates ability to speak fluidly about the concepts and principles that underpin the question when evaluating if competency has been sufficiently demonstrated.

Where a candidate requires further knowledge or skill development to demonstrate competency for a specific module(s) then a gap closure plan must be put in place to enable them to meet the competency requirement. All gaps must be re-assessed in each module before the overall competency is demonstrated. A continued delegation of Risk Approval Authority must be put in place until that competency can be demonstrated.

4. OIMS CORE MODULES

The Modules are set out by OIMS element and represent knowledge and experience that is expected to be gained during assignment.

These modules are intended to familiarize candidates with the work associated with production field operations. It is to be used as a guide for the candidate, their supervisors, and mentors as they build the knowledge for their leadership role. Each module contains multiple tasks, some relating to knowledge only and others requiring practical experience learning. See [E] for criteria on when/how these modules should be completed.

For OIMS Core Modules the candidate's supervisor is responsible for endorsing completion of a Task Book, and has flexibility to determine what constitutes acceptable completion of tasks

The Task Book thus serves as a record of candidate's accomplishments. When required sections have been completed satisfactorily, the candidate's supervisor should attest on the final page. The completion of Modules is to be documented in CareerConnect.

Candidates should have regular meetings with their supervisor and mentor to seek advice and guidance on technical issues and your learning progress.

5. DISCIPLINE SPECIFIC MODULES

Discipline Specific training and experiences describe broadly applicable activities that build excellence in job performance. These learnings are relevant to support operations excellence and achieve superior business performance results.

Discipline Specific training and experiences are listed in the Task Book. Additional activities, or modifications to the activities listed, can be considered for proposed development training and experiences to consider the unique features and aspects of the individual person and the asset. See [E] for criteria on when/how these modules should be completed

The individual disciplines in the Task Book include:

- Operations
- Maintenance
- Logistics
- New Operations

Individuals should only complete the Discipline Specific Modules related to their role.

The Task Book will be used to track completion of developmental training and experiences during the assignment. Additionally, experiences and gaps should be discussed at a set frequency with the candidate and his/her supervisor.